

IRA opened years ago? I never touched it and let it ride the ebbs-and-flow of the Slowlane. Today that account is worth \$698. \$698! With inflation, the real purchasing power is \$500. My spare change bucket on my kitchen table was a better investment. Had I invested \$1 million, I'd have lost more than \$400,000. And this is the Slowlaner's anointed weapon of wealth? Hilarious! Millions worship the Slowlane roadmap with "buy and hold" as Main Street, a Main Street that is decades long, imperiled by hazards, and rarely routes to wealth.

I recently heard a Slowlane prognosticator proclaim the effectiveness of "Get Rich Slow" by citing this tasty factoid: *If at the end of 1940 you had invested \$1,000 in the stocks of the S&P500 you would now have \$1,341,513.* So let's examine this fact, assuming it is fact.

- 1) It's 1940 and assume you are 21 years old.
- 2) It's 1940 and you somehow got your hands on \$1,000, which in today's dollars is about \$15,000.
- 3) You took that \$1,000 in 1940s money and did as above.

Congratulations! It is NOW 2011 and you are 91 years old, rich with \$1,341,513. Or if you were lucky to get your \$1,000 ON BIRTH, you'd now be 71 years old! Yes, folks, it's time to get excited! "Get Rich Slow" is going to make you rich! Just ignore your 74-year life expectancy and make sure your wheelchair comes equipped with chrome rims. Seriously, how does anyone get excited over this crap?

THE SLOWLANE'S TRAITOROUS RELATIONSHIP WITH TIME

Compound interest and a job have the same disease: the sinful and gluttonous consumption of your time while forsaking control. Both variables within the Slowlane wealth equation are anchored by time—time traded in a job and time traded in market investments. Time becomes the lynchpin for wealth that congenitally ties to the mathematical handicaps of mortality: 24 hours in a day and a 50-year work-life expectancy. Yes, "getting rich" is a function of time. Unless you plan on living forever, this relationship is dubiously foolhardy. Why? *Because to trade your time away is to trade your wealth away.*

Examine these pathetically common examples. Assume a 5% savings rate on gross salary and an annual investment yield of 8% per year. We'll exclude taxes and inflation.

Salary @ \$25,000/yr, save \$1,250/year, invested over 40 yrs @ 8% = \$362,895

Salary @ \$50,000/yr, save \$2,500/year, invested over 40 yrs @ 8% = \$725,791

Salary @ \$75,000/yr, save \$3,750/year, invested over 40 yrs @ 8% = \$1,088,686

Salary @ \$100,000/yr, save \$5,000/year, invested over 40 yrs @ 8% = \$1,451,581

Salary @ \$150,000/yr, save \$7,500/year, invested over 40 yrs @ 8% = \$2,177,132